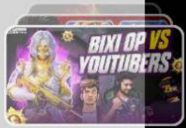
INTERNAL & EXTERNAL RANGE LIQUIDITY: THE RELATIONSHIP

THIS IS THE LESSON THAT IS GOING TO BE THE TURNING POINT FOR THE MAJORITY OF YOU, THIS IS WHAT MAKES BIAS EASY.

YOU REALLY WANT TO GET YOUR NOTEPAD OUT FOR THIS ONE AND UNDERSTAND THE RELATIONSHIP BETWEEN THE TWO.

BACKTEST. BACKTEST. BACKTEST.



TIME FRAME ALIGNMENT

- MONTHLY LEVELS > DAILY STRUCTURE
- WEEKLY LEVELS > H4 STRUCTURE
- DAILY LEVELS > H1 STRUCTURE

RELATIONSHIP BETWEEN INTERNAL & EXTERNAL LIQUIDITY

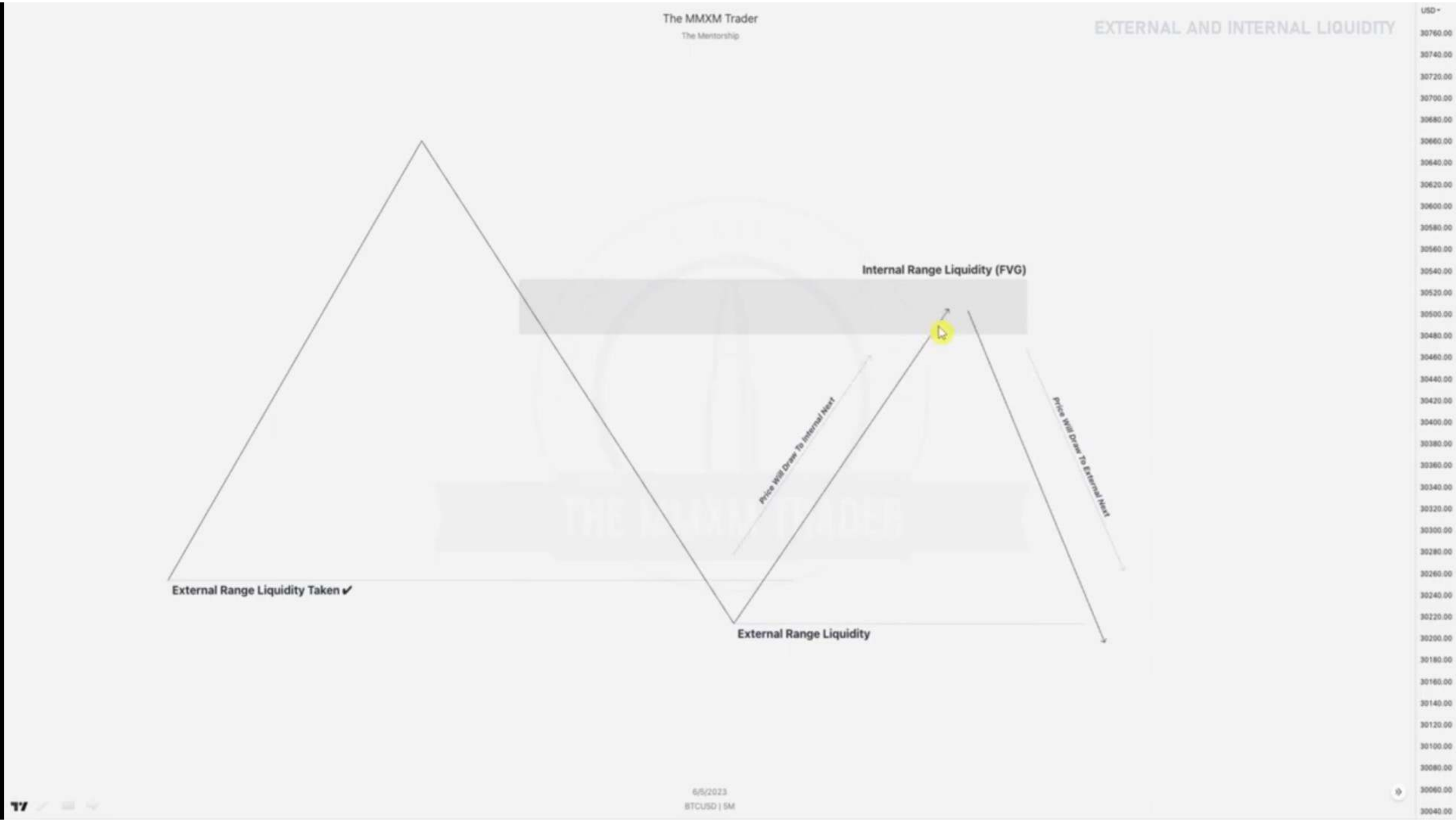
THE RELATIONSHIP BETWEEN INTERNAL & EXTERNAL RANGE LIQUIDITY AND HOW THEY INTERACT, IS THE KEY TURNING POINT IN REALLY UNDERSTANDING WHERE THE MARKET IS LIKELY TO DRAW TO.

I CONSIDER THIS LESSON ONE OF THE MOST IMPORTANT IF NOT THE MOST IMPORTANT IN THE ENTIRE MENTORSHIP.

THE UNDERSTANDING YOU WILL LEARN BETWEEN THE TWO IS THE FOUNDATION TO BUILDING ANTICIPATORY SKILLS FOR PRICE MOVEMENTS AND UNDERSTANDING WHERE THE MARKET IS DRAWING TO.

DEFINING INTERNAL & EXTERNAL LIQUIDITY

- INTERNAL RANGE LIQUIDITY (IRL) IS DEFINED BY FAIR VALUE GAPS.
- EXTERNAL RANGE LIQUIDITY (ERL) IS DEFINED BY HIGHS OR LOWS.
- WHEN EXTERNAL RANGE LIQUIDITY IS TAKEN A FVG (IRL) BECOMES THE NEXT DRAW.
- WHEN A FVG IS TAGGED AN OLD LOW OR OLD HIGH (ERL) BECOMES THE NEXT DRAW.



The MMXM Trader
The Mentorship
EXTERNAL AND INTERNAL LIQUIDITY
Internal Range Liquidity (FVG)
Price Will Draw To Internal Next
Price Will Draw To External Next
External Range Liquidity Taken ✔
External Range Liquidity
6/5/2023
BTCUSD | 5M
USD
30760.00
30740.00
30720.00
30700.00
30680.00
30660.00
30640.00
30620.00
30600.00
30580.00
30560.00
30540.00
30520.00
30500.00
30480.00
30460.00
30440.00
30420.00
30400.00
30380.00
30360.00
30340.00
30320.00
30300.00
30280.00
30260.00
30240.00
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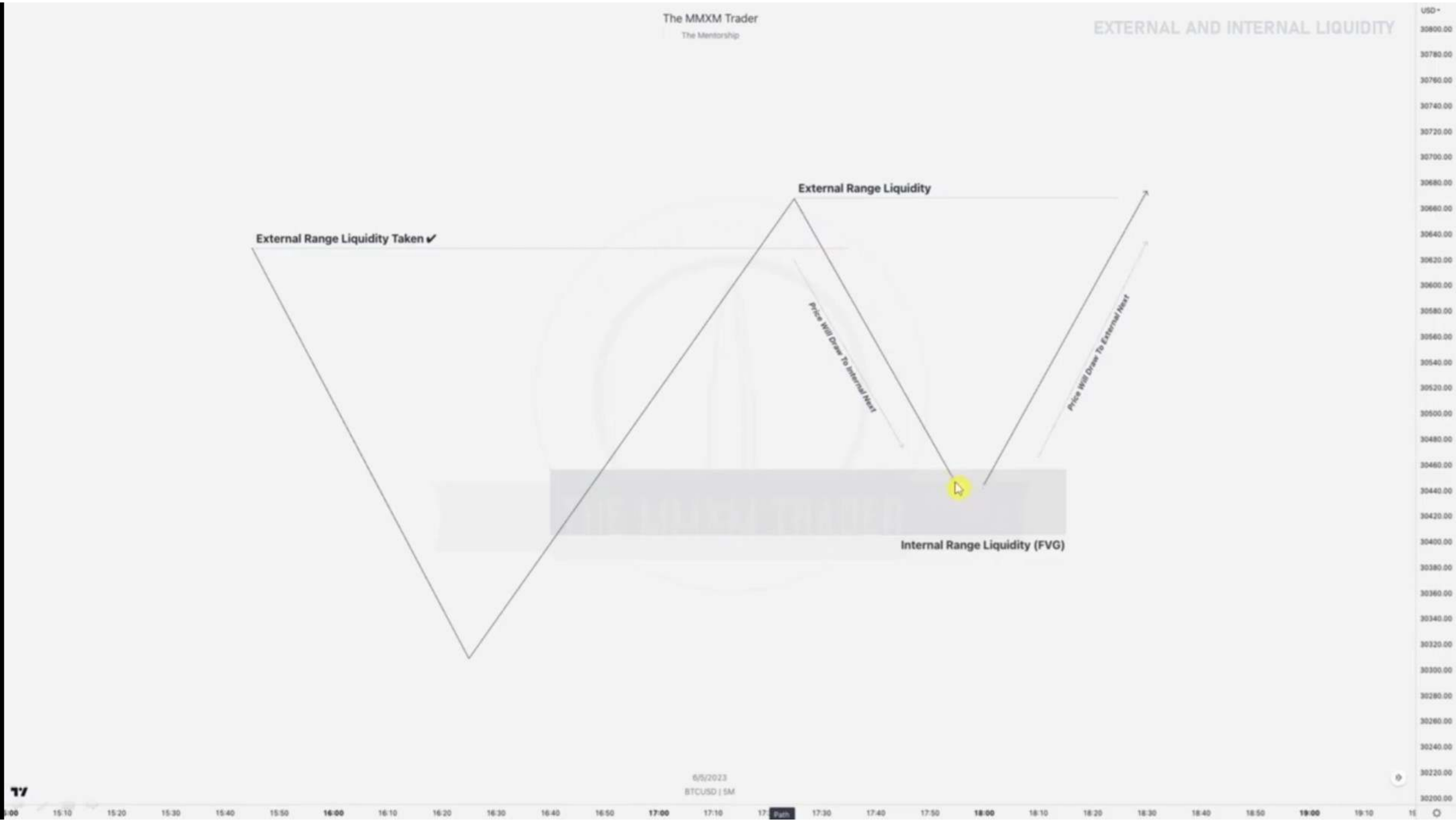

The MMXM Trader
The Mentorship
EXTERNAL AND INTERNAL LIQUIDITY
External Range Liquidity
External Range Liquidity Taken ✔
Price Will Draw To Internal Next
Price Will Draw To External Next
Internal Range Liquidity (FVG)
BTCUSD | 5M

PRICE ONLY DOES TWO THINGS

- DRAWS TO OLD HIGHS AND LOWS
- REBALANCES AN IMBALANCE

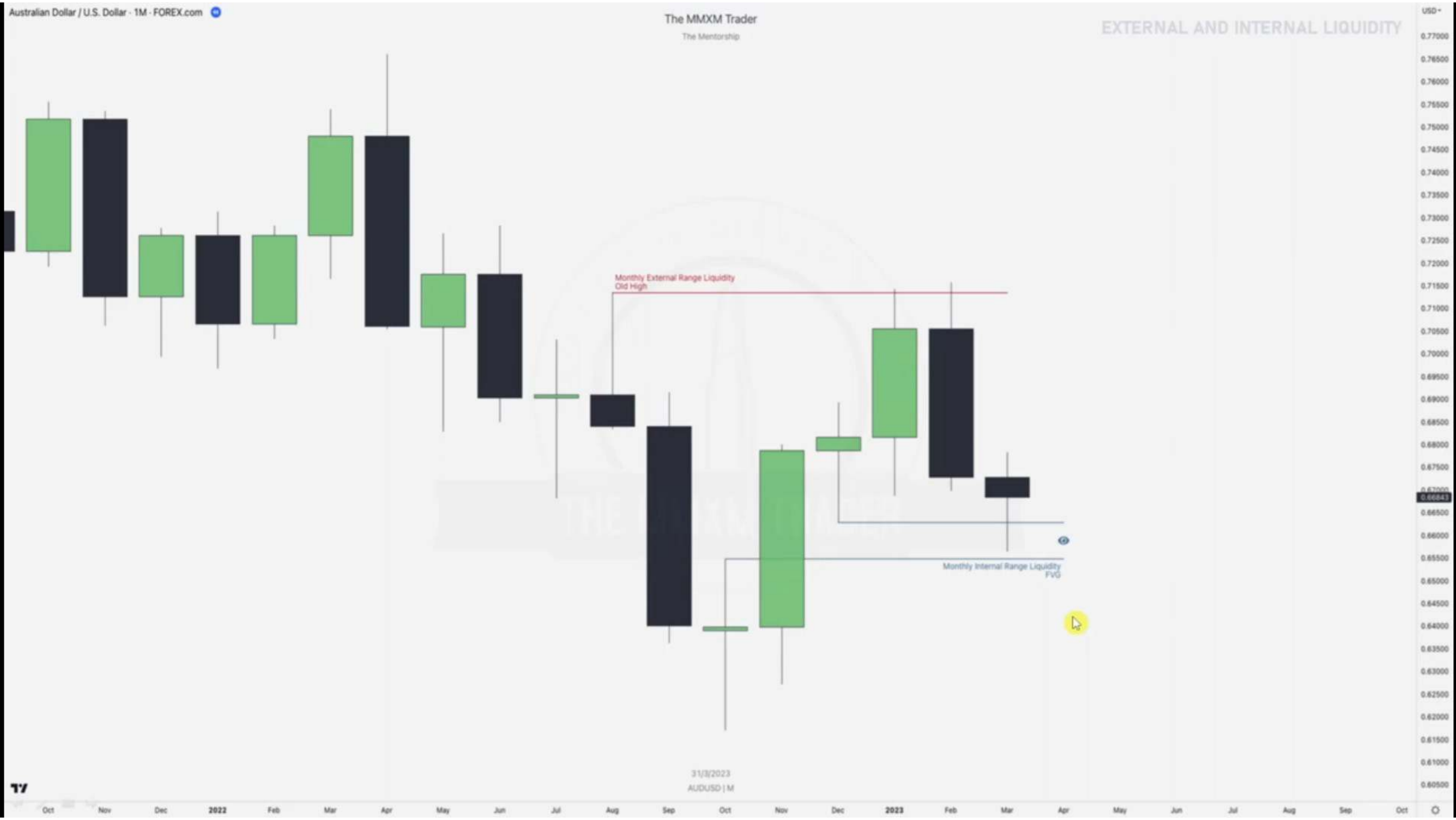
THERE IS NOTHING ELSE PRICE DOES

PRICE ONLY DOES TWO THINGS

THE FLOW OF THE MARKET PLACE IS THAT INTERNAL RANGE LIQUIDITY BEING TAGGED WILL BE THE CATALYST FOR PRICE DRAW TO EXTERNAL RANGE LIQUIDITY. AND EXTERNAL RANGE LIQUIDITY BEING TAKEN IS THE CATALYST FOR PRICE TO DRAW TO INTERNAL RANGE LIQUIDITY.

SIMPLE AS THAT.

USING THIS UNDERSTANDING ON THE MONTHLY, WEEKLY, DAILY & 4 HOUR IS THE KEY YOU'VE ALL BEEN LOOKING FOR WHEN IT COMES TO DAILY BIAS.



Australian Dollar / U.S. Dollar · 1M · FOREX.com
The MMXM Trader
The Mentorship
EXTERNAL AND INTERNAL LIQUIDITY
Monthly External Range Liquidity
Old High
Monthly Internal Range Liquidity
FVG


Australian Dollar / U.S. Dollar · 1D · EIGHTCAP
The MMXM Trader
The Mentorship
EXTERNAL AND INTERNAL LIQUIDITY
Monthly External Range Liquidity
Old High
Monthly Internal Range Liquidity
FVG
8/3/2023
AUDUSD | D

EXAMPLE OF AUDUSD MONTHLY CHART

AS YOU CAN SEE, EXTERNAL RANGE LIQUIDITY DEFINED BY THE OLD HIGH GETS TAKEN AND PRICE STARTS TO TRADE AWAY FROM THE HIGH.

YOUR EYE SHOULD **IMMEDIATELY** GO TO THE BULLISH FAIR VALUE GAP BELOW MARKET PRICE AS THE NEXT DRAW ON LIQUIDITY... BECAUSE EXTERNAL RANGE LIQUIDITY BEING TAKEN IS THE CATALYST FROM PRICE TO DRAW TO INTERNAL RANGE LIQUIDITY (FVG).

EXAMPLE OF AUDUSD MONTHLY CHART

WHEN WE LOOK AT THE MARKET PLACE WITH THIS UNDERSTANDING OF THE RELATIONSHIP BETWEEN THE TWO AND WE BLEND THAT WITH THE HIGHER TIME FRAME CHARTS YOUR UNDERSTANDING OF PRICE AND WHERE ITS LIKELY TO DRAW NEXT REALLY STARTS TO MATERIALIZE.

WE CAN SEE JUST FROM THIS UNDERSTANDING ON THE RELATIONSHIP BETWEEN THE TWO BEING USED ON A HTF MONTHLY CHART WE HAVE MANAGED TO FRAME A BEARISH BIAS FOR 2 WHOLE MONTHS.


British Pound / Australian Dollar · 1W · FOREX.com
The MMXM Trader
The Mentorship
EXTERNAL AND INTERNAL LIQUIDITY
Weekly External Range Liquidity
Old High
Weekly Internal Range Liquidity
FVG
5/5/2023
GBPAUD | W

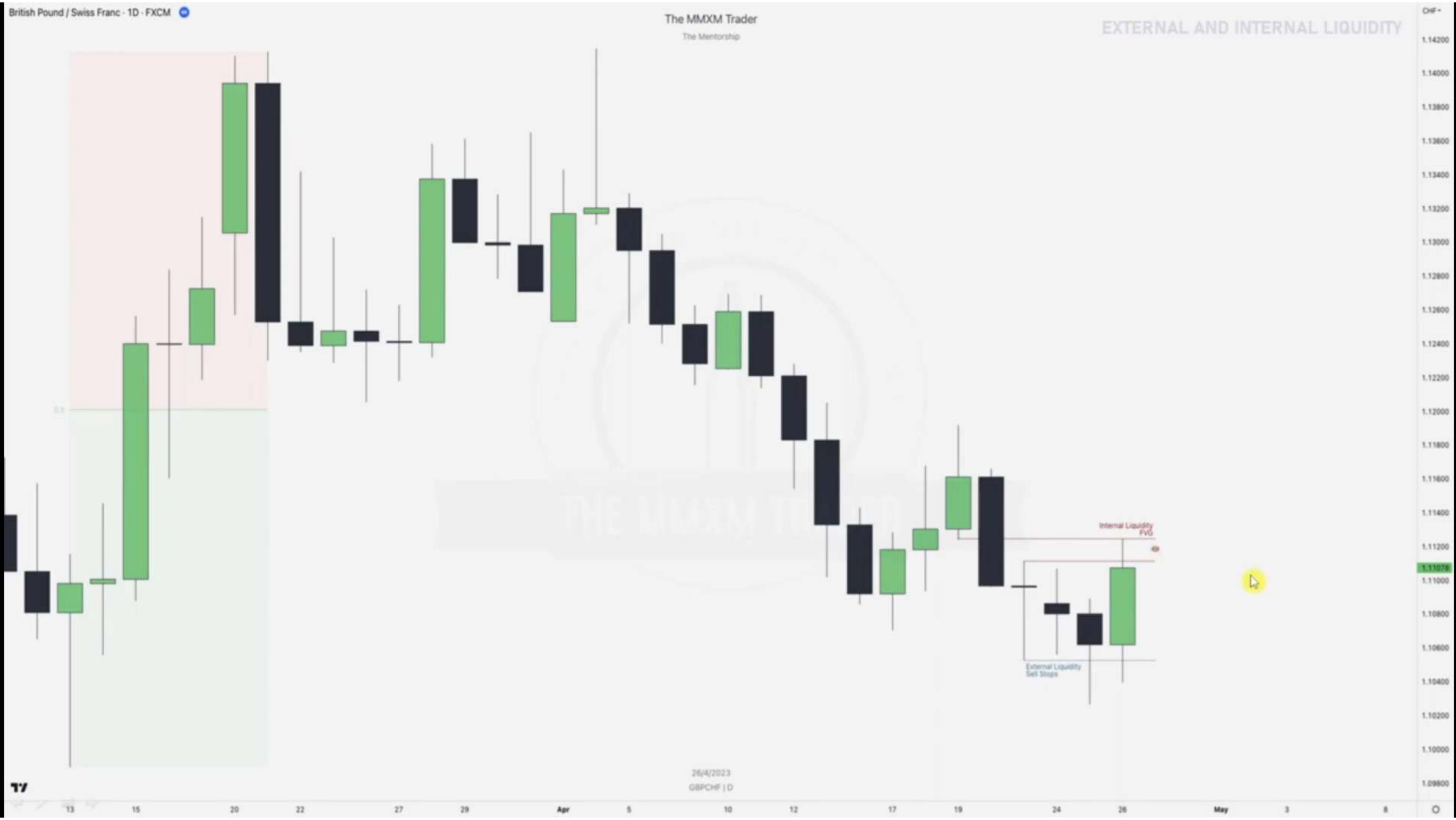

British Pound / Australian Dollar · 1D · FOREX.com
The MMXM Trader
The Mentorship
EXTERNAL AND INTERNAL LIQUIDITY
Weekly External Range Liquidity
Old High
ERL Old High
ERL Old High
ERL Old High
ERL Old High
IRL FVG
IRL FVG
IRL FVG
Weekly Internal Range Liquidity
FVG
5/5/2023
GBPAUD | D

EXAMPLE OF GBPAUD DAILY CHART

KNOWING THE RELATIONSHIP BETWEEN THE TWO IS WHAT LEADS US TO A HIGH PROBABILITY DAY TRADING BIAS.

YOU CAN SEE HOW MANY INTRADAY OPPORTUNITIES WE HAVE JUST WITH THE UNDERSTANDING OF THE RELATIONSHIP BETWEEN INTERNAL AND EXTERNAL RANGE LIQUIDITY.

US Dollar Index · 1D · CAPITALCOM
The MMXM Trader
The Mentorship
EXTERNAL AND INTERNAL LIQUIDITY
Internal Range
Liquidity FVG
External Range Liquidity Taken
14/4/2023
DXY | D



British Pound / Swiss Franc · 1D · FXCM
The MMXM Trader
The Mentorship
EXTERNAL AND INTERNAL LIQUIDITY
Internal Liquidity
FVG
External Liquidity
Sell Stops
26/4/2023
GBPCHF | D

British Pound / Swiss Franc · 1h · FXCM
The MMXM Trader
The Mentorship
EXTERNAL AND INTERNAL LIQUIDITY
Internal Liquidity
Daily FVG
External Liquidity
Daily Sell Stops
26/4/2023
GBPCHF | 60M

EXAMPLE OF GBPCHF DAILY CHART & HOURLY

FOR SOME OF YOU IT'S GOING TO BE EASIER TO SPOT ONE OVER THE OTHER, IN MY EXPERIENCE MOST FIND IT VERY EASY TO SEE ERL TO IRL.

IF YOU FIND IT MUCH EASIER TO SPOT ERL TO IRL… YOUR EYE CAN JUST SEE IT THEN STICK WITH IT.

YOU DON'T EVER HAVE TO TRADE IRL TO ERL AND THE SAME GOES FOR THOSE OF YOU WHO CAN SEE IRL TO ERL.

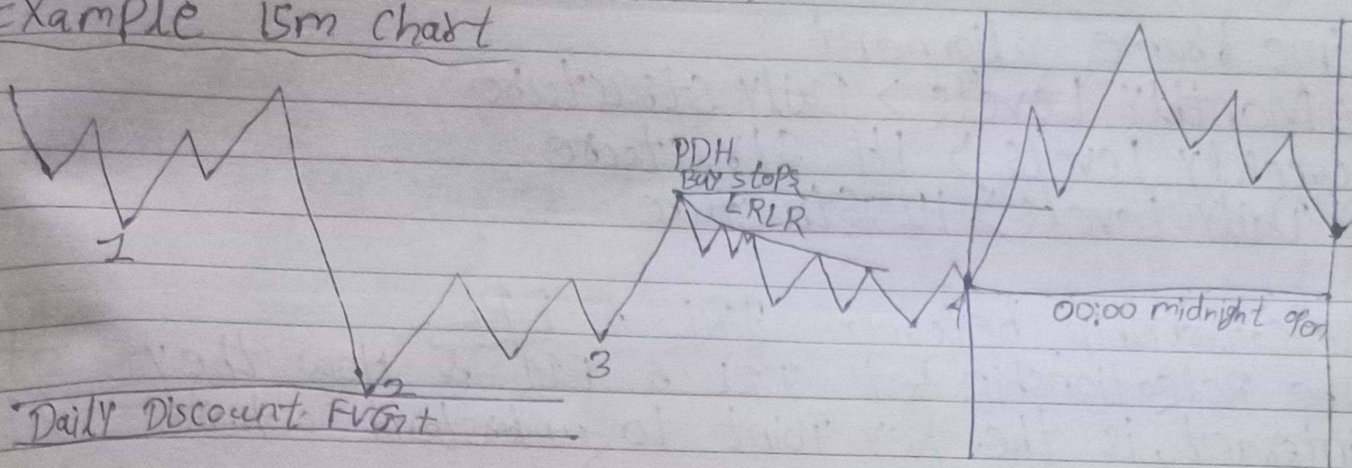
SUMMARY OF INTERNAL & EXTERNAL RANGE LIQUIDITY

THE RELATIONSHIP BETWEEN THE 2 BEING USED ON THE MONTHLY, WEEKLY, DAILY, AND HOUR 4 CHARTS IS THE KEY THAT UNLOCKS YOUR UNDERSTANDING TO BIAS AND BUILDS THE ANTICIPATORY SKILLS REQUIRED TO FORECAST MARKET DIRECTION AND PRICE MOVES.

ONE OF THE BIGGEST MISCONCEPTIONS REGARDING LOW RESISTANCE LIQUIDITY RUNS IS THAT THEY'RE ONLY FRAGILE PATTERNS ON THE CHART LIKE TRENDLINES OR EQUAL HIGHS OR EQUAL LOWS. THAT IS VALID; HOWEVER, TRUE LOW RESISTANCE LIQUIDITY RUNS ARE FRAMED OFF THE HTF PD ARRAYS.

THE HTF MONTHLY, WEEKLY & DAILY CHARTS ARE THE CATALYST TO ONE SIDED LOW RESISTANCE LIQUIDITY RUNS OCCURRING IN THE MARKET PLACE.

Appointments on Day 4 that Run PDH. It is a ~~PO3~~
8.00 DoL easy. a Perfect PO3.
Example 15m chart



13.00 → when Daily chart market tap ~~Bear~~ Bullish FVG in Discount array it go up. That make a swing.
14.00 → The candle Touch the Discount array is 2nd candle it's previous candle is 1st candle & it's Next candle
15.00 is 3rd candle it make PO3 or Perfect swing.
→ we see 4th candle because it High probability
16.00 that Break 3rd candle High because it easy DoL.
→ mark the 4th candle if it Bullish candle in
17.00 Daily then market will be up trend.
→ we trade in intraday basis.
18.00

Lesson-5.

Eve. INTERNAL & EXTERNAL LIQUIDITY

Internal Range Liquidity & ERL: The Releationship
→ This is the Lesson that is going to be the turning Point for the Majority for You, It make Bias easy.

Appointments → very Imp. Backtest as always.

8.00

Time frame alignment

9.00 → Monthly Levels > Daily structure

→ weekly Levels > H4 structure

10.00 → Daily Levels > H1 structure

11.00 Releationship Between IRL & ERL

→ The Releationship betⁿ IRL & ERL & How they
12.00 interact, is the key Point to understand where
market want to go.

13.00

Defining IRL & ERL

14.00

→ IRL is defined by FVG's.

15.00 → ERL is defined by Highs or Lows.

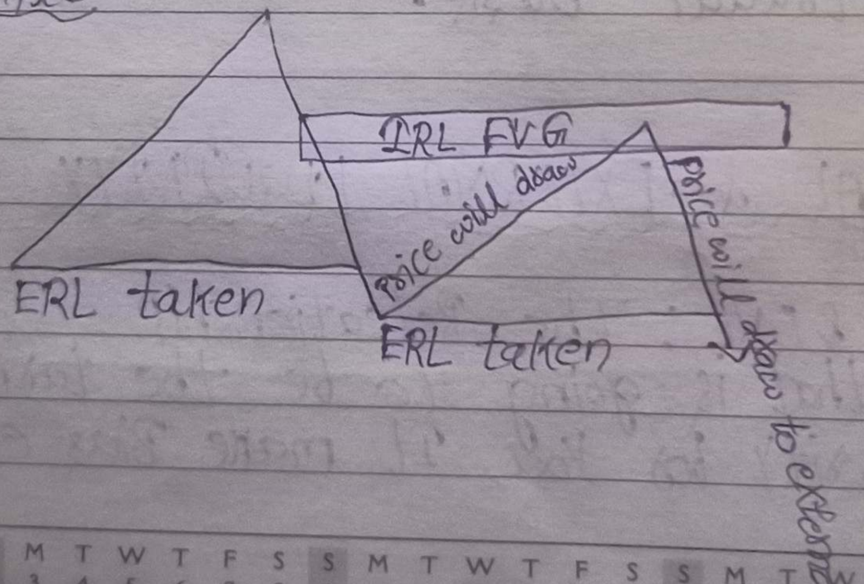
→ when ERL is taken a FVG (IRL) becomes the
16.00 Next draw.

→ when a FVG tagged an old Low or High (ERL)
17.00 becomes the Next draw.

Example

18.00

Eve.



Appointments → Price from bottom to move up then go down taking the bottom (old low). So, it is ERL.

8.00

9.00 → Price goes to old highs or old Lows & seeks to Reprise into imbalance.

10.00 → Price after taking ERL it go into internal Range Liquidity that is FVG. when market take old High or low. You look imbalance (FVG) inside the Range to get fill then once market hit we move for next one which is ERL again

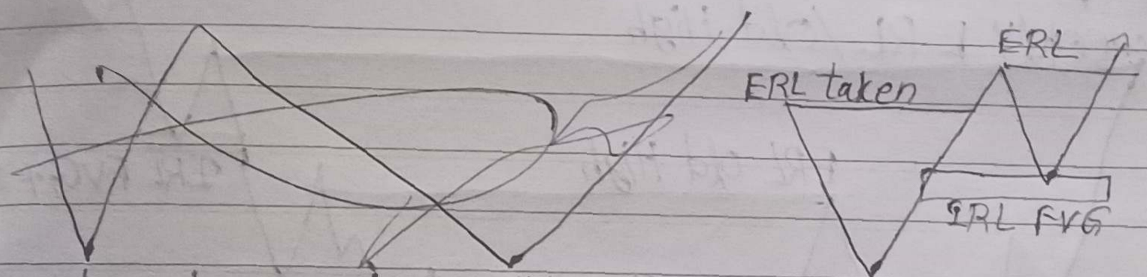
11.00

12.00

13.00 → Same example for up sight

14.00

15.00



16.00 Price only does two things

17.00 → Draws to old Highs & Lows
→ Rebalance an imbalance

18.00

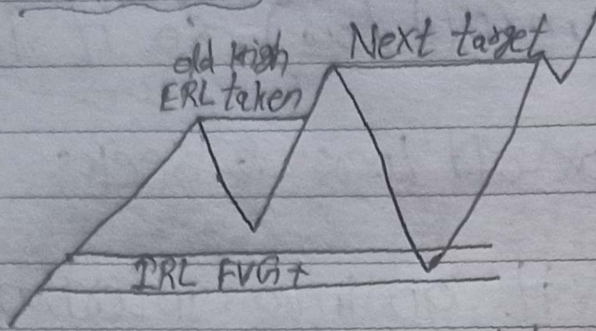
→ If we are in bearish order flow & we take out an old low there's a Probably a FVG in Premium level. once the FVG tap & it Respect it we can look for ERL again.

Eve.

→ Charts Run on Internal to external & external to internal.

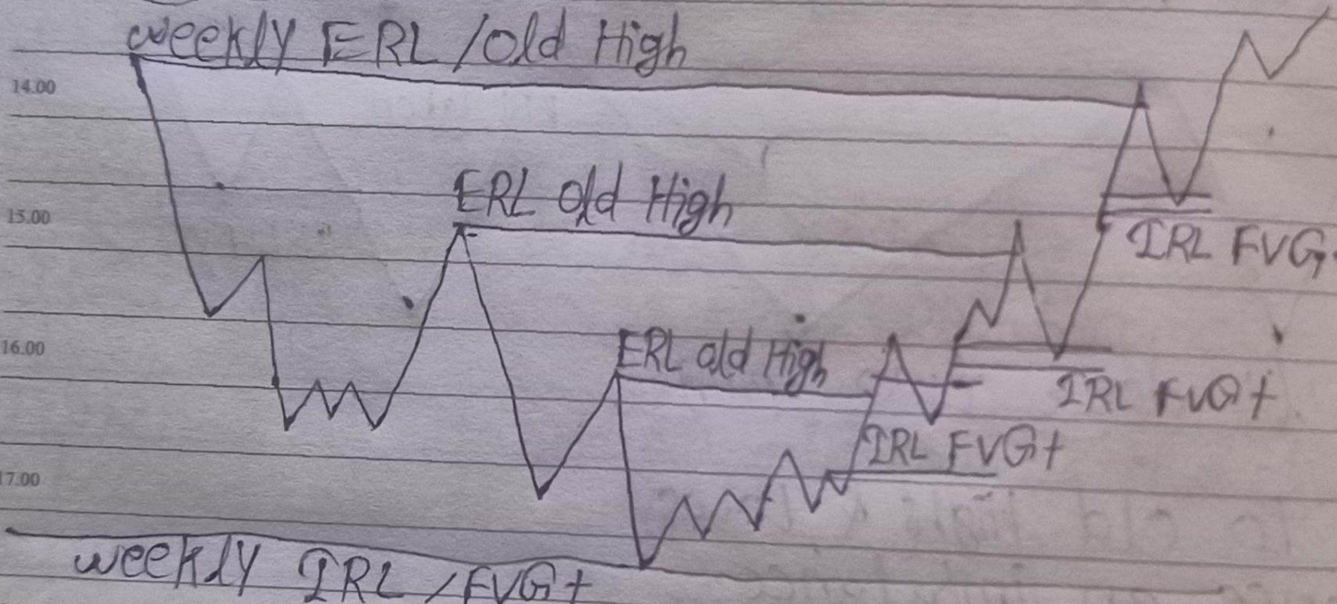
Appointments

Example:- weekly chart



-) when market take old High / ERL our Next target is below market price any IRL / FVG After hit IRL our Next target is the ERL / old High & it is the New DOL.

Example:- Daily Chart



Eve.